UPS vs NPS

A Comparative Analysis

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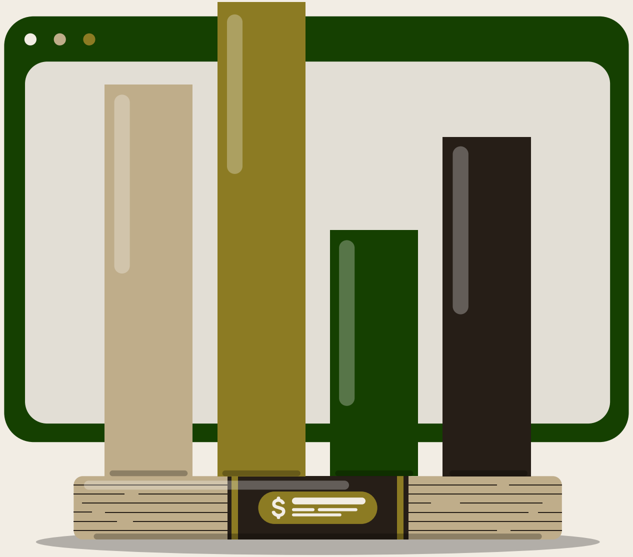
CONTENTS

01

UPS OVERVIEW



WHAT IS UPS?

In exercise of powers conferred by the PFRDA Act, the PFRDA issued regulations to operationalise a scheme introduced by Central Govt called Unified Pension Scheme as an option under NPS scheme for all the employees of Central Govt who are covered under NPS scheme.

It assures 50% of the last drawn salary (average of last 12 months) as assured monthly payout to Central Government employees having a minimum qualifying service of 25 years.

It also guarantees a minimum payout of Rs.10,000 for retiring Central Government employees with at least 10 years of qualifying service

Who are eligible to opt for UPS?

- An existing Central Government employee in service as on 1st April 2025, who is covered under NPS.
- A new recruit in the Central Government services, who joins service on or after the 1st day of April 2025
- A Central Government employee who was covered under NPS and who has superannuated or voluntarily retired or has retired under Fundamental Rules 56(j) on or before 31st March 2025.
- The legally wedded spouse in case of a subscriber who has superannuated or retired and has demised prior to exercising the option for UPS.

Timeline for exercising option

UPS will be an option available to employees of Central Government, who are covered under the NPS, in terms of the UPS Notification. **Thus default scheme will be NPS**

- Within three months from 1st April 2025, or within such extended timelines if any, allowed by the Central Government, in respect of existing employees
- Within thirty days, from the date of joining Central Government services or within such extended timelines, if any, allowed by the Central Government, in respect of a person joining service after 1st April 2025

OPTION ONCE EXERCISED WILL BE FINAL

CONTRIBUTION

INDIVIDUAL CORPUS

- The monthly contribution of the UPS Subscriber shall be ten percent of the basic pay (including non-practising allowance, where applicable) and dearness allowance thereon, which shall be credited to the individual PRAN of UPS Subscriber.

- The monthly contribution of the UPS Subscriber shall be matched by the Central Government by crediting an equal amount, to the individual PRAN of the UPS subscriber

POOL CORPUS

- Additional Central Government contribution at an estimated eight and half percent. of Basic Pay (including non practising allowance, wherever applicable) plus Dearness Allowance, on aggregate basis of all employees who have chosen the UPS option.

- Transfer of balance from the individual corpus of a subscriber.

- Any other contribution defined by the Central Government

INVESTMENT OF CONTRIBUTION

Investment Objective. -The contributions shall be invested and managed by the pension fund(s) with an objective to optimize returns on the investments, ensuring safety of contribution in the interest of UPS subscriber(s). The pension fund(s) shall take adequate steps and exercise prudence, diligence, and its technical expertise while undertaking fund management

Investment of Pool Corpus.

- The Pool Corpus shall be allocated to such pension fund(s) as determined by the Central Government, who shall invest the funds in accordance with the investment pattern and related aspects thereto, as approved by the Central Government. The Authority shall, subject to such instructions, issue investment guidelines which the pension funds shall adhere to.
- The Pool Corpus shall be audited annually by an auditor to be appointed by the Authority

Investment of Individual Corpus

- UPS Subscriber shall have an option to choose the pension fund and the investment pattern including a default pattern in accordance with the guidelines issued by the Authority,for the investment of contributions made in the individual corpus under UPS.
- UPS Subscriber may choose any one of the pension funds registered with the Authority.
  UPS Subscriber exercising choice of pension fund other than default pattern, shall choose any one of the following investment choices:
  (i) option to invest hundred percent. of the funds in Government securities
  (ii) option of any one of the following Life Cycle based schemes:
    (A) **Conservative Life Cycle Fund** with maximum exposure to equity capped at twenty- five percent. LC-25;
    (B) **Moderate Life Cycle Fund** with maximum exposure to equity capped at fifty percent. LC-50.
- UPS Subscriber shall have an option to change the choice of pension fund once in a financial year and investment choice twice in a financial year

Benchmark Corpus

For each employee covered under NPS, who has exercised the UPS option, a benchmark corpus value shall be computed by CRA for comparison with individual corpus based on the following assumptions:

- Regular and timely receipt of applicable contributions of both, employer and employee, for each month of qualifying service
- Contributions being invested as per default pattern determined by the authority
- No partial withdrawals made during accumulation phase;
- Any voluntary contributions made shall not be considered
- Any contributions for the period before the commencement of the qualifying service under the Central Government shall not be considered.

02

BENEFITS OF UPS

Who are eligible to enjoy benefits under UPS ?

- An employee who superannuates after qualifying service of ten years
- Central Government employee retiring under the provisions of Fundamental Rule 56 (j) (which is not a penalty under Central Civil Services (Classification, Control and Appeal) Rules, 1965) from the date of such retirement.
- In case of voluntary retirement after a minimum qualifying service period of twenty-five years, from the date such employee would have superannuated, if the service period had continued to superannuation
- **Notwithstanding enrolment of an employee in the UPS option under NPS, such option shall cease to apply in case of a UPS Subscriber who has been removed or dismissed from service or who has resigned his services.**

Lump Sum Payout

$$\text{Lump Sum Payment} = (E/10) \times L$$

- Emoluments (E) = {Basic Pay (including non-practising allowance, if applicable) + Dearness Allowance} on the date of superannuation or voluntary retirement or retirement under Fundamental Rules 56(j) (which is not treated as penalty under Central Civil Services (Classification, Control and Appeal) Rules, 1965), as may be applicable Length of service.

- (L) = number of completed six months of qualifying service as certified by Head of Office

Assured payout

Assured payout shall be payable at fifty-percent of the average of the last twelve months Basic Pay immediately prior to the date of superannuation or voluntary retirement or retirement under Fundamental Rules 56(j) subject to completion of minimum twenty-five years of qualifying services by a UPS subscriber.

The formula for calculating assured payout is as under

Assured Payout (A) = (½ of P) x (Q/300)

P = average of Basic Pay for last twelve months,
Q* = months of qualifying service as certified by the Head of Office (Provided where Q is less than 120, UPS shall not be applicable and if more than 300, then Q shall be taken as 300)
* rules of qualifying service rules normally applicable in railways may be referred for determining the qualifying service for calculation of Assured payout

Minimum Guaranteed Payout

The minimum guaranteed payout under UPS shall be **Rupees Ten Thousand per month** subject to completion of minimum ten years of qualifying services by a UPS subscriber.

The formula for calculation of Minimum guaranteed payout:

If (½ of P) x (Q/300) < 10,000, and

Q is more than or equal to 120
Then Minimum guaranteed payout shall be Rs. 10,000

Admissible payout

The assured payout so proportionately reduced shall be payable as admissible payout. This may be due to two reasons:

- Individual corpus < Benchmark corpus
- Final lump sum withdrawal upto 60% has been opted by the employee

The formula for calculating admissible payout is as under

Admissible Payout = Assured Payout x IC/BC x (1-FW%)

Where, IC= value of Individual Corpus BC= value of Benchmark Corpus with condition of IC ≤ BC

FW= Final withdrawal in percentage points (maximum upto sixty percent of Individual Corpus or Benchmark Corpus, whichever is lower

Final Withdrawal Percentage

- UPS Subscriber or the legally wedded spouse, as the case may be, shall also have an option to withdraw an amount **not exceeding sixty percent** of the individual corpus or benchmark corpus, whichever is lower.
- Final withdrawal amount shall be calculated on the benchmark corpus and the excess amount in the individual corpus shall be credited to the designated bank account of the UPS Subscriber.

Family Payout

- Upon demise of a UPS Subscriber who was receiving admissible payout, as the case may be, the legally wedded spouse of such deceased subscriber shall receive for life, family pay out of sixty percent of the amount of the admissible payout.
- This is applicable to any deceased employee who superannuated prior to 1st April 2025 and otherwise eligible for opting UPS.

Dearness Relief

- Dearness Relief as declared by the Central Government from time to time, shall be payable on the admissible payout and family payout, as the case may be. Dearness Relief shall be payable only when admissible payout commences.

Partial Withdrawal

- Can be made from the individual corpus after expiry of lock in period of 3 years from the date of enrollment under UPS or NPS.
- **Not more than 25% of own contribution** (excluding accretion thereon)
- It can be made for a maximum of of 3 times.
- Purposes for partial withdrawals
    - Higher education of wards
    - Marriage of children
    - Construction of residential house
    - Treatment of illness of UPS subscriber or spouse or wards.

03

PAYMENTS IN NPS

Contribution & Investments

- 10% of basic pay and dearness allowance is contributed by the employee and **central govt will contribute 14% of basic pay and dearness allowance**.
- The employee has the
  - option to invest hundred percent of the funds in Government securities
  - option of any one of the following Life Cycle based schemes:
    - Conservative Life Cycle Fund with maximum exposure to equity capped at twenty- five percent. LC-25;
    - Moderate Life Cycle Fund with maximum exposure to equity capped at fifty percent. LC-50

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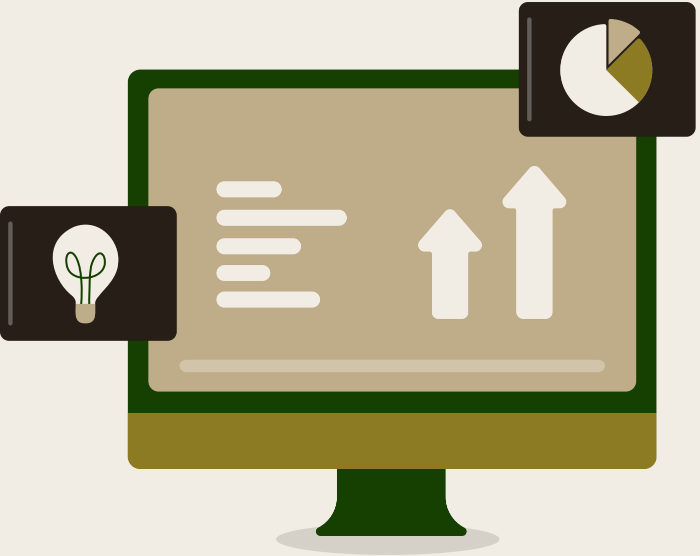
- The corpus so developed in the life cycle of the employee will determine the lump sum and monthly annuity payouts for the employee (The payments received will be fully determined by the market returns in the years of contribution)

Lump Sum Payment

- Upto 60% of the employee corpus can be **withdrawn tax free** at the time of superannuation.
- If the pensioner decides he/she can decide not to withdraw the lump sum and invest full 100% of corpus in annuity plan to get enhanced pension.

Monthly Annuity Payment

- **Minimum 40% must be invested in an annuity plan** for monthly payment of annuity.
- There are various types of annuity schemes like
    - Annuity for life (No RoP)
    - Payable for life with 100% for spouse
    - Annuity for life with RoP on death of the annuitant
    - Annuity payable for life with 100% annuity payable to spouse and RoP on death of both
    - NPS family income



04

ADVANTAGES OF UPS OVER NPS

Fixed Payouts

- Assured payment of 50% of last drawn salary and dearness allowance is given as monthly payout for the rest of the life of UPS subscriber.
- Upon demise of the subscriber the spouse will be eligible for 60% of the amount as family payout.

Inflation Adjusted Payouts

- Unlike NPS annuity payouts which will be fixed for life, UPS payouts will be linked to the dearness allowance declared by central government from time to time.
- In case of family payouts also, dearness hike will be available which gives protection against inflation.
- **It may be noted that payouts will not be linked to subsequent pay commission revisions as the payment is made from the pooled corpus under UPS**.

Non Market Linked Payouts

- Unlike NPS, the payout in UPS is assured and is not related to the prospective growth of the individual corpus.
- Only requirement is that the individual corpus must be greater than or equal to the benchmark corpus as determined by CRA for each individual.
- This is assured through the pooled corpus where govt contributes 8.5% of monthly emoluments of UPS subscriber.
- This ensures that even in worst case of market performance in the next decades, payouts will not be affected.

05

UPS vs NPS COMPARISON

RETURNS

Lump sum payment

- As compared to UPS (where govt contributes 10%), the contribution of govt in NPS is 14% and since the investment options are same in both UPS and NPS, **NPS will yield a higher corpus** as compared to UPS
- The lump sum payment in UPS can be summarised roughly as 1 month salary for every 5 years of service. So for assured pension in UPS which is 25 years of service, **5 months salary will be received as lump sum.**
- Lump sum in NPS is 60% of the total corpus which can be withdrawn tax free, this option is available in UPS also but the 60% of UPS corpus will be less than 60% of NPS due to larger corpus in NPS.

Thus if 60% is withdrawn as lump sum payment from both, NPS lump sum will be greater than UPS (including UPS extra lump sum)

Monthly Payout

- Monthly payment in UPS will be **50% of last drawn Basic and DA if all conditions prescribed are fulfilled** and an amount equal to the benchmark corpus is transferred to pooled corpus.
- This payout will be linked to DA thus giving steady inflation proof payouts.
- In case of NPS, monthly payment depend on the annuity purchase value and the annuity product selected by the individual.
- If higher pension is the requirement then lump sum withdrawal in NPS can be reduced and contribution to annuity can be enhanced as per requirement which will ensure higher monthly payment.

UPS assures 50% monthly pension with small amount of lump sum payment, this can be matched in NPS if the higher contribution is diverted to purchase of annuity and a lump sum which is equal to UPS lump sum(5 months salary) is withdrawn from corpus. If lump sum is withdrawn from UPS, proportionate payout is also reduced.
But NPS annuity will not give inflation adjusted returns and annuity once decided will be for lifetime.

RISKS

- The most important risk with NPS is market related risks, entire corpus is invested in equity, bonds and govt securities as per individual choice.
- The final payout both of lump sum and annuity is determined by the size of the corpus.
- In an event where due to unforeseen reasons, market returns are sub par then the entire retirement corpus will fall short.
- This sort of risk is not there in UPS as the pension is assured if our corpus matches benchmark corpus. In any event of market collapse the benchmark corpus also falls and thus ensures that the individual receives 50% pension.
- Further the risk of rising inflation is not mitigated in NPS but in UPS, payout is linked with the dearness allowance and thus protecting against risk of high inflation.

In terms of risk mitigation and providing assured pension in any condition UPS clearly beats NPS.

WHICH IS BETTER FOR YOU?

- It depends on the personality and risk profile of the individual.

- If the individual has higher risk taking ability and knows to manage his personal finance then NPS will be better than UPS as chances of higher corpus is with NPS and the 60% lump sum can be utilized efficiently for future cash flows.

- In all other scenarios, UPS will be better as retirement payout will be made risk free with UPS and also flexibility is offered with upto 60% withdrawal of corpus.

- UPS gives the flexibility to optimise the risk adjusted returns by selecting a risk free retirement payout and in case if the market returns are good there is possibility to withdraw from the corpus and enjoy proportionately reduced monthly payout which is linked with DA.

WHATEVER BE THE OPTION CHOOSE WISELY AS OPTION ONCE EXERCISED IS FINAL

06

MIGRATION PROCEDURES

Schedule I
[See Regulation 4, 19, 20 and 23]

Summary of Forms contained in Schedule I

Sl	Particulars	Form
1	Exercise of Option to be covered under Unified Person Scheme (UPS) and to avail its Benefits (new recruits on or after 1st April 2025)	A1
2	Exercise of Option by an eligible Central Government employee presently subscribed to National Pension System (NPS) for being covered under Unified Pension Scheme (UPS)	A2
	Claim by Subscriber	
3	Claim and Payout Form: Unified Pension Scheme (UPS) subscriber who superannuated or retired on or after 1st April 2025	B1
4	Claim and Payout Form: Unified Pension Scheme (UPS) subscriber whosuperannuated or retired on or before 1st April 2025	B2
	Claim by Spouse (Death Cases)	
5	Claim and Payout Form: Spouse of the deceased Unified Pension Scheme (UPS) subscriber who superannuated or retired on or after 1st April 2025 and eligible for UPS benefits and subscriber had already availed benefits under UPS	B3
6	Claim and Payout Form: Spouse of the deceased Unified Pension Scheme (UPS) subscriber who superannuated or retired on or before 31st March 2025 and eligible for UPS benefits and subscriber had already availed benefits under UPS	B4
7	Claim and Payout Form: Spouse of the deceased Unified Pension Scheme (UPS) subscriber who superannuated or retired on or after 1st April 2025and eligible for UPS benefits and subscriber had not availed benefits under UPS	B5
8	Claim and Payout Form: Spouse of the deceased Unified Pension Scheme (UPS) subscriber who superannuated or retired on or before 31st March 2025 and eligible for UPS benefits and subscriber had not availed benefits under UPS	B6

ENROLMENT

- **A Central Government employee in service** as on 1st April 2025, who is subscribed to NPS shall submit an application to the concerned Drawing and Disbursing Officer (DDO) in **Form A2 of Schedule I** to enrol in UPS option under NPS in accordance with these regulations

- In case of **a new recruit** to the Central Government services joining on or after 1st April 2025, the existing process of enrolment under NPS shall continue. In case such new recruit chooses the UPS option under NPS, such person shall submit an application to the concerned DDO in **Form A1 of Schedule I**, to enrol in UPS option under NPS in accordance with these regulations; 122 THE GAZETTE OF INDIA : EXTRAORDINARY [PART III—SEC.4]

- An eligible Central Government employee who has **superannuated or retired** under Fundamental Rules 56(j) as may be applicable, on or before 31st March 2025, and was covered under NPS, shall submit an application in **Form B2** of Schedule I along with KYC documents, to the concerned DDO, to avail the benefits under the UPS option, in the manner specified under these regulations

- In case of a **deceased Central Government employee** who has superannuated or retired under Fundamental Rules 56(j) as may be applicable, on or before 31st March 2025, and was covered under NPS and was eligible to avail benefits under UPS, the legally wedded spouse shall submit an application to the concerned DDO in **Form B6 of Schedule I**, along with KYC documents, to avail the benefits under the UPS option, when such benefits become due and payable in the manner specified under these regulations.

ROLE OF PERSONNEL OFFICERS

- Concerned PB Incharge Officer will be the Drawing and Disbursing Officer(DDO) and the DDO will act as the point of contact between the subscribers in govt sector for NPS related activities.

- The Forms listed as A1, A2, B2 and B6 in Schedule I, as may be applicable, may be submitted online through the CRA portal or physically to the Head of Office or DDO(Drawing and Disbursing Officer).

- In case of online submission of Forms through the CRA portal, the CRA shall provide an acknowledgement to such person and simultaneously forward the same to DDO for verification. The DDO shall update the records in CRA system after obtaining necessary details, from the Head of Office and forward the same to the PAO for its authorisation in such system.

- In case a person is not able to exercise the UPS option through the CRA portal, such person shall have the facility to submit form physically to the Head of Office directly or through DDO. In such cases, the Head of Office shall forward the option information to the DDO. The DDO shall update the records in the CRA system after obtaining necessary information received from the Head of Office and forward the same to PAO for its authorisation in such system.

- **A person eligible to exercise option and who does not exercise the UPS option under NPS within the timelines laid down shall be deemed to have opted to continue under NPS without UPS option**

THANK YOU